



Trust Planning Crib Sheet

Educational Overview of Common Trust Structures

This crib sheet outlines commonly used trust structures in estate and wealth planning. Trust laws vary by jurisdiction. This document is for educational purposes only.

Living Trust (Inter Vivos Trust)

- Created during the grantor's lifetime.
- Often used to avoid probate and provide continuity in incapacity.
- Can hold real estate, investments, and business interests.
- May be revocable or irrevocable depending on objectives.

Testamentary Trust

- Created through a will and takes effect at death.
- Often used for minor children or structured distributions.
- May provide tax planning benefits depending on jurisdiction.
- Only comes into existence after probate.

Life Insurance Trust (ILIT equivalent where applicable)

- Designed to hold life insurance outside the estate (where permitted).
- Can provide liquidity for estate taxes or equalization among heirs.

- Commonly structured as irrevocable to remove insurance proceeds from estate value.
- Must be carefully drafted to meet local tax rules.

Charitable Trust / Charitable Remainder Trust

- Allows assets to support charitable causes while providing income or tax benefits.
- May reduce estate or capital gains exposure depending on country rules.
- Can be structured for lifetime income followed by charitable remainder.
- Often irrevocable.

Asset-Protection Trust

- Designed to shield assets from future creditors (where legally recognized).
- May require offshore or specific jurisdictional structuring.
- Typically irrevocable.
- Subject to strict legal requirements and anti-avoidance rules.

Special-Needs Trust

- Designed to provide for a beneficiary with disabilities.
- Helps preserve eligibility for government benefits (where applicable).
- Funds supplemental needs rather than replacing public support.
- Often irrevocable and carefully regulated.

Revocable vs. Irrevocable Trusts

- **Revocable Trust:** The trust can be modified, amended, or dissolved by the grantor during their lifetime. Assets can be returned if desired. Provides flexibility but generally limited asset protection.
- **Irrevocable Trust:** Once established, it cannot be undone or materially changed by the grantor. Often used for tax planning, asset protection, or estate-freezing strategies. Less flexibility but potentially stronger protection.

Key Planning Questions

- What is the primary objective — probate avoidance, tax planning, control, or protection?
 - Do you require flexibility to change terms later?
 - Are there vulnerable beneficiaries involved?
 - Is creditor exposure a concern?
 - How will the trust be funded and administered?
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Legal & Financial Education Disclaimer

This document is provided for educational and informational purposes only and does not constitute legal, tax, or financial advice. Trust structures must be drafted by qualified legal professionals and are governed by jurisdiction-specific laws. Before establishing any trust, consult experienced estate planning counsel in your province, state, or country.